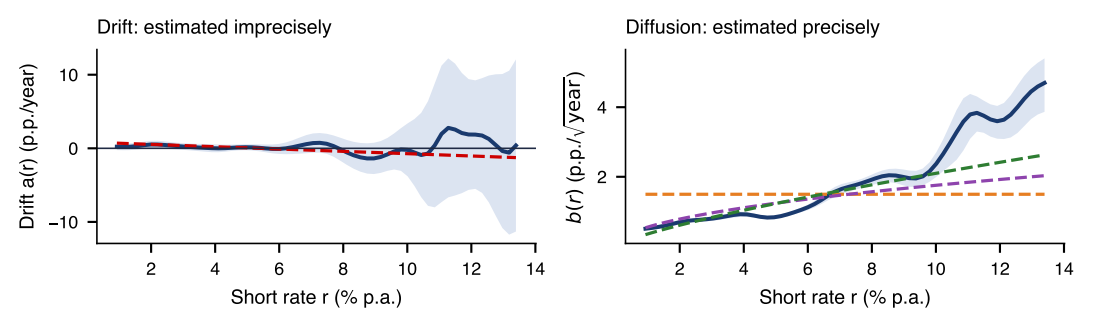
Drift: estimated imprecisely
Drift a(r) (p.p./year)
10
0
−10
2
4
6
8
10
12
14
Short rate r (% p.a.)
Diffusion: estimated precisely
b(r) (p.p./√year)
4
2
2
4
6
8
10
12
14
Short rate r (% p.a.)
95% pointwise band
Nadaraya-Watson estimate
Vasicek: $\hat{\kappa}(\hat{\theta} - r)$
Vasicek: σ
CIR: $\sigma\sqrt{r}$
CKLS: σr^{γ}, $\hat{\gamma} = 0.77$